



Fannie Mae Fixed Rate

Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	97% ²	97% ^{1,2}	NA	DU – Approve/Eligible
	95%	95%		DU – Approve/Eligible or LPA – Accept
Manufactured Home (double-wide)	95%	95%		DU – Approve/Eligible
2-Unit	85%	85%		DU – Approve/Eligible or LPA – Accept
3 to 4-Unit	75%	75%		

PRIMARY RESIDENCE – CASH-OUT REFINANCE ³

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	80%	80%	NA	DU – Approve/Eligible or LPA – Accept
2 to 4-Unit	75%	75%		
Manufactured Home (double-wide) ⁴	65%	65%		DU – Approve/Eligible

SECOND HOME – PURCHASE & RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	90%	90%	620	DU – Approve/Eligible or LPA – Accept
Manufactured Home (double-wide)	90%	90%	620	DU – Approve/Eligible

SECOND HOME – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	75%	75%	620	DU – Approve/Eligible or LPA – Accept

INVESTMENT PROPERTY – PURCHASE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	85%	85%	620	DU – Approve/Eligible or LPA – Accept
2 to 4-Unit	75%	75%		



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INVESTMENT PROPERTY – RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1 to 4-Unit Warrantable Condo PUD	75%	75%	620	DU – <i>Approve/Eligible</i> or LPA – <i>Accept</i>

INVESTMENT PROPERTY – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	75%	75%	620	DU – <i>Approve/Eligible</i> or LPA – <i>Accept</i>
2 to 4-Unit	70%	70%		

1. Traditional subordinate financing is limited to 97% CLTV. Maximum CLTV allowed up to 105% when utilizing an approved community second program.
2. See BORROWER ELIGIBILITY below.
3. Texas properties - primary residence cash-out transactions, or rate/term refinances with liens on title classified as Section 50(a)(6) are limited to 80% LTV/CLTV. Refer to [Texas Refinance Loans](#) section below for further details.
4. Cash-out transactions secured by manufactured homes are limited to a loan term of 20 years or less.

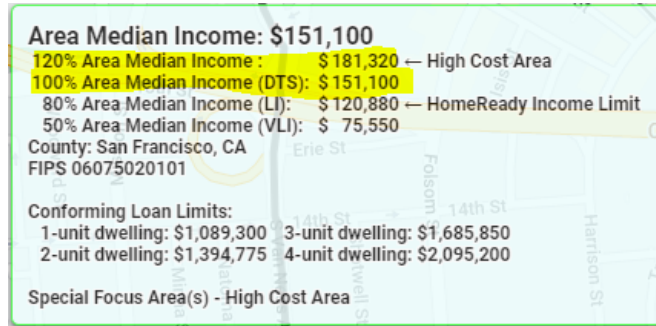
PROGRAM SUMMARY

Fixed rate and term, fully amortizing, conventional conforming first lien mortgage loan program.

PRODUCTS OFFERED

Product Name	Term
Fannie Mae 30-Year Fixed	30 years
Fannie Mae 30-Year Fixed for First-Time Home Buyers ⁶	30 years
Fannie Mae 27-Year Fixed	27 years
Fannie Mae 25-Year Fixed	25 years
Fannie Mae 22-Year Fixed	22 years
Fannie Mae 20-Year Fixed	20 years
Fannie Mae 15-Year Fixed	15 years
Fannie Mae 12-Year Fixed	12 years
Fannie Mae 10-Year Fixed	10 years
Fannie Mae 8-Year Fixed ⁵	8 years

5. Loans under the 8yr product require a DU Approve/Eligible; LPA findings not permitted.
6. See [First-Time Home Buyers](#) under in Underwriting section below. Originators should be familiar with the area median income (AMI) limits within their market areas and should select the new first-time home buyer product only when the borrower's qualifying income is within the applicable limit and at least one borrower is a first-time home buyer. If unsure whether the income meets the applicable AMI limit, initially register loans under the standard Fannie Mae 30-Year Fixed product and submit the transaction to Desktop Underwriter (DU) to determine if the eligibility messaging shown under [First-Time Home Buyers](#) in the Underwriting section below is returned on the DU findings report. If the DU findings report does not include the messaging, the loan should not be registered under the first-time home buyer product. Originators should use the Fannie Mae [Area Median Income Lookup Tool](#) to determine the applicable income limit based on the subject property address (Note: properties not in a "High Cost Area" will not include a 120% income line):



LOAN REGISTRATION

When registering a Rate & Term with a > 95% LTV, the user will be directed to the Add Loan Purpose Info screen in Loantrac, where you must select the current First Mortgage Holder in the drop-down box. This information is transmitted to Desktop Underwriter (DU).

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming loan limits for 1 to 4-unit property (high-cost area limits, except for standard AK, HI, and USVI, are not eligible under this program).

ELIGIBLE BORROWERS

PURCHASE

When the LTV (Gross LTV for Loan with Financed MI) is greater than 95% at least one borrower must be a first-time home buyer as indicated on the 1003 responding "No" to Declaration: Have you had an ownership interest in a property in the last three years? A first-time home buyer is defined as anyone who has not had ownership interest in a residential property in the last three years.

RATE & TERM REFINANCES

When the LTV is greater than 95%, the existing loan being refinanced must be owned by Fannie Mae. Using the Fannie Mae look up tool, located at knowyouroptions.com, a screen shot of the findings must be uploaded into the loan file.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- Fannie Mae/Freddie Mac-warrantable condominiums
- Planned unit developments (PUDs)
- Modular homes
- Manufactured homes
 - Multiple-width homes only
 - No new construction; only homes already on a permanent foundation and properly converted to and taxed as real property
 - Refer to the [Conventional Underwriting Guidelines](#) for additional manufactured home requirements

INELIGIBLE PROPERTY TYPES

- Non-Fannie Mae/Freddie Mac-warrantable condominiums

- Cooperative properties
- Manufactured homes
 - Single-wide
 - New construction/never occupied
 - MH Advantage

MINIMUM CREDIT SCORES

Refer to the [Product Eligibility Grids](#) above. Mortgage insurers may have additional restrictions. Refer to each specific mortgage insurance company's website for complete eligibility details. All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

QUALIFYING RATE

Note rate

QUALIFYING RATIOS

Determined by DU. Refer to mortgage insurance companies for additional restrictions.

RESERVES

- Determined by DU.
- Reserves for borrowers with an LTV greater than 95% may be funded from eligible gifts per *Conventional Underwriting Guidelines*.

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the [Conventional Underwriting Guidelines](#) for details. Community Seconds subsidized subordinate financing eligible up to 105% CLTV. Community Seconds may be eligible from a state, local or municipal authority or agency, a 501(c)(3) not-for-profit corporation, a tax-exempt religious organization or the borrower's employer. Flagstar Bank must review all Community Second programs for eligibility. Refer to *Community Seconds Programs*, [Doc. #5932](#) for documentation requirements.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction. Interested party contributions may be used exclusively to cover closing costs and prepaid expenses.

INTERESTED PARTY CONTRIBUTION LIMITS

Property Type	Up to 75% CLTV	75.01-90% CLTV	90.01-97% CLTV
Primary Residences	Maximum 9%	Maximum 6%	Maximum 3%
Second Homes	Maximum 9%	Maximum 6%	Maximum 3%
Investment Property	Maximum 2%	Maximum 2%	n/a

TEMPORARY BUYDOWNS

Not eligible

UNDERWRITING

All loans must meet the parameters as set out in Flagstar's [Conventional Underwriting Guidelines](#).

- All loans require an approve/eligible response from DU.
- Manual underwriting is not eligible.
- Loans under the 8yr product require a DU Approve/Eligible; LPA findings not permitted.

FIRST-TIME HOME BUYERS

- First-time home buyers that meet certain area median income (AMI) limits are eligible for the waiver of Fannie Mae loan-level pricing adjustments (LLPAs); the income limit requirements are:
 - 100% of the applicable AMI for non-high-cost areas.
 - 120% of the applicable AMI for high-cost areas.
- Loans must receive DU Approve/Eligible; LPA findings not permitted.
- Final DU findings report must include the messaging shown below about eligibility for the LLPA waiver based on FTHB status and the borrower's qualifying income meeting the AMI guidelines:

35	The Area Median Income for the area in which the property is located is 90800.
36	Based on the total qualifying income on the loan casefile and the area median income associated to the subject property, this first-time homebuyer case is eligible for an LLPA waiver. The loan must be delivered with Special Feature Code 873.

- Eligible loans must be registered under the "Fannie Mae 30-Year Fixed for First-Time Home Buyers" product in order to receive the LLPA waivers
 - All such loans must be targeted to "Fannie Mae" only

HOMEOWNERSHIP EDUCATION

Refer to [Conventional Underwriting Guidelines](#) for requirements.

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our [Conventional Underwriting Guidelines](#), Texas Refinances section to determine if the loan must be originated under the requirements of Section 50(a)6 of the Texas Constitution. Texas Home Equity loans are eligible under the program. Refer to [Texas Homestead 50\(a\)\(6\) Refinance, Doc. #5907](#) for eligibility, documentation/disclosure, and title/closing requirements.

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines.⁶

LTV	> 20-Year Term	<= 20-Year Term	Manufactured Home All Loan Terms
95.01 - 97%	35%	35%	NA
90.01 - 95%	30%	25%	30%
85.01 - 90%	25%	12%	25%
80.01 - 85%	12%	6%	12%



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NEW YORK PROPERTIES

See [Conventional Underwriting Guidelines](#).

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance – Lender Paid Mortgage Insurance*, [Doc. #5010](#).

STATE ELIGIBILITY

Available in the following states with geographic restrictions. States not listed are available without restrictions.

State	Restriction
Puerto Rico	Not eligible

PREPAYMENT PENALTY

None

CLOSING DOCUMENTATION

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in Loantrac.

ALL LOANS:

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Standard title commitment with all applicable endorsements.

IF APPLICABLE:

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form #3140.
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form #3150.
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form #3170, (for 2 to 4-unit primary residences and all investment property mortgages).
- Fannie Mae/Freddie Mac multi-state Second Home Rider, Form #3890.